BALANCE SHEET

THE BALANCE SHEET EQUATION

While the Profit and Loss (P&L) statement provides information about the company's profitability, the balance sheet offers insights into the company's assets, liabilities, and shareholder equity. The P&L statement, as we have seen, details the company's profitability for the financial year under consideration.
Therefore, it is accurate to say that the P&L statement is standalone, focusing on a specific financial year. In contrast, the balance sheet is prepared on a cumulative basis, encompassing financial information about the company from its inception.
In summary, while the P&L statement illustrates the company's performance in a particular financial year, the balance sheet reflects the company's financial evolution over time.

The balance sheet provides detailed information about a company's assets, liabilities, and equity.

Assets, both tangible and intangible, are resources owned by the company that are expected to provide future economic value. Examples include plants, machinery, cash, brands, and patents. Assets are categorized into two types: current and non-current, which we will discuss later.

Liabilities represent the company's obligations. These obligations are undertaken with the expectation that they will provide long-term economic value. In simple terms, liabilities are the loans and debts the company must repay. Examples include short-term borrowings, long-term borrowings, and payments due.

Liabilities are also categorized into two types: current and non-current, which we will discuss later.
<u>In a typical balance sheet, the company's total assets should equal its total liabilities.</u>

This is represented by the equation:

Assets = Liabilities

This equation, known as the balance sheet equation or the accounting equation, illustrates the key property of the balance sheet: it must always be balanced.
Everything a company owns (assets) must be financed either through the owner's capital or through liabilities.

Owner's Capital is the difference between assets and liabilities, also known as shareholders' equity or net worth. This can be represented by the equation:

Shareholders' Equity = Assets – Liabilities

This equation reflects the financial position of the company, showing how the company's assets are financed by its liabilities and shareholders' equity

Below is the snapshot of the Balance Sheet of TATA Motors Ltd

(₹ in crores)

Particulars	Notes	As at March 31, 2022	As at March 31, 2021
I. ASSETS			
(1) Non-current assets			
(a) Property, plant and equipment	3 (b)	80,900.13	79,640.05
(b) Capital work-in-progress	3 (c)	3,529.04	8,377.14
(c) Right of use assets	4	6,686.02	6,490.66
(d) Goodwill	5	807.17	803.72
(e) Other intangible assets	6 (b)	50,462.13	51,773.18
(f) Intangible assets under development	6 (c)	6,722.05	12,586.79
(g) Investment in equity accounted investees	9	4,349.39	4,200.79
(h) Financial assets:			
(i) Other investments	10	2,320.92	1,368.30
(ii) Finance receivables	18	11,135.85	16,846.82
(iii) Loans and advances	12	843.35	1,034.89
(iv) Other financial assets	13	5,179.49	6,197.39
(i) Deferred tax assets (net)	22	3,870.85	4,520.35
(j) Non-current tax assets (net)		1,196.79	1,003.30
(k) Other non-current assets	20	5,639.21	1,394.78
		183,642.39	**196,238.16**
(2) Current assets			
(a) Inventories	14	35,240.34	36,088.59
(b) Financial assets:			
(i) Other investments	11	22,709.22	19,051.19
(ii) Trade receivables	15	12,442.12	12,679.08
(iii) Cash and cash equivalents	16	38,159.01	31,700.01
(iv) Bank balances other than (iii) above	17	2,510.18	15,092.45
(v) Finance receivables	18	22,095.35	17,868.09
(vi) Loans and advances	12	1,671.93	1,610.61
(vii) Other financial assets	13	3,799.82	5,413.11
(c) Current tax assets (net)		259.84	865.31
(d) Assets classified as held-for-sale		523.85	220.80
(e) Other current assets	21	7,565.88	6,298.40
		146,977.54	**146,887.64**
TOTAL ASSETS		**330,619.93**	**343,125.80**
II. EQUITY AND LIABILITIES			
Equity			
(a) Equity share capital	23	765.88	765.81
(b) Other equity	24	**43,795.36**	**54,480.91**
Equity attributable to owners of Tata Motors Limited		44,561.24	55,246.72
Non-controlling interests		4,271.06	1,573.49
		48,832.30	**56,820.21**
Liabilities			
(1) Non-current liabilities			
(a) Financial liabilities:			
(i) Borrowings	26	97,759.17	93,112.77
(ii) Lease liabilities		5,962.44	5,412.06
(iii) Other financial liabilities	28	5,333.66	2,556.35
(b) Provisions	31	12,955.89	13,606.76
(c) Deferred tax liabilities (net)	22	1,558.44	1,555.89
(d) Other non-current liabilities	32	7,535.22	12,312.58
		131,104.82	**128,556.41**
(2) Current liabilities			
(a) Financial liabilities:			
(i) Borrowings	27	41,917.87	42,791.74
(ii) Lease liabilities		809.55	814.00
(iii) Trade payables	30		
(a) Total outstanding dues of micro and small enterprises		183.92	186.21
(b) Total outstanding dues of creditors other than micro and small enterprises		59,786.46	67,993.63
(iv) Acceptances		9,779.95	7,860.31
(v) Other financial liabilities	29	14,420.24	13,725.64
(b) Provisions	31	10,766.31	12,848.03
(c) Current tax liabilities (net)		1,253.85	1,086.44
(d) Liabilities directly associated with Assets held-for-sale		3.12	-
(e) Other current liabilities	33	11,761.54	10,443.18
		150,682.81	**157,749.18**
TOTAL EQUITY AND LIABILITIES		**330,619.93**	**343,125.80**

See accompanying notes to consolidated financial statements

First let's discuss the Liabilities part of the Balance Sheet then we will move to the Asset part.

THE LIABILITIES SIDE OF THE BALANCE SHEET

The liabilities side of the balance sheet details all the liabilities of the company. There are three sub-sections within liabilities: shareholders' fund, non-current liabilities, and current liabilities. The first section is the shareholders' funds or also known as equity.

SHAREHOLDER'S EQUITY:

As we know, the balance sheet has two main sections, i.e., the assets and the liabilities. The liabilities represent the obligations of the company. The shareholders' fund, which is integral to the balance sheet's liabilities side, is highlighted in the snapshot below.
Many people find this term a little confusing

					146,977.54	146,887.64
			TOTAL ASSETS		330,619.93	343,125.80
II.	EQUITY AND LIABILITIES					
		Equity				
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		(b)	Other equity	24	43,795.36	54,480.91
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					48,832.30	56,820.21
		Liabilities				
	(1)	Non-current liabilities				
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			TOTAL EQUITY AND LIABILITIES		330,619.93	343,125.80

On one hand, we discuss liabilities, which represent the company's obligations. On the other hand, we talk about shareholders' funds, which represent the wealth of the shareholders. This might seem counter-intuitive at first. How can liabilities and shareholders' funds appear on the 'Liabilities' side of the balance sheet? After all, shareholders' funds represent the funds belonging to the shareholders, which in essence are an asset and not a liability.

To make sense of this, you need to shift how you perceive a company's financial statement. Consider the entire company as an individual entity whose primary role is to operate and generate wealth for its shareholders. By adopting this viewpoint, you effectively separate the shareholders (including its promoters) from the company itself. With this perspective, think about the financial statement. You will realize that it is a report published by the company—an independent entity—communicating its financial health to the world.

This also means that shareholders' funds do not belong to the company; they rightfully belong to the shareholders. Therefore, from the company's viewpoint, shareholders' funds are an obligation owed to the shareholders. Hence, they are shown on the liabilities side of the balance sheet.

Now let's understand what is "Equity Share Capital", so to understand share capital, consider a fictional company, Company ABC, issuing shares for the first time. Suppose Company ABC issues 1000 shares, each with a face value(FV) of Rs. 10. The "face value(FV)" of a share is the nominal value assigned to each share at the time of issuance, as specified in the company's memorandum of association. This value remains constant and does not change over time, unlike the market value of the share, which fluctuates based on market conditions and investor perceptions.

In this scenario, the share capital would be calculated as Rs. 10 (face value) multiplied by 1000 (number of shares), resulting in a total share capital of Rs. 10,000/-.

Share Capital = FV x No. of Shares
No. of Shares = Share Capital / FV

(So, We found the face value of TATA Motors from the NSE website.)
FV = 2
No. of Shares = 7360000000 / 2
= 3800000000

Trade Information

Traded Volume (Lakhs) 59.38	Traded Value (₹ Cr.) 250.50
Total Market Cap (₹ Cr.) 1,57,168.63	Free Float Market Cap (₹ Cr.) 88,953.04
Impact cost 0.05	Face Value 2.00

Snip from NSE website

1) Other Equity: This represents any other forms of equity or reserves that are not classified under equity share capital, such as retained earnings, revaluation reserves, or any other reserves.

2) Equity Attributable to Owners of Tata Motors Limited: This is the total equity that belongs to the shareholders (owners) of Tata Motors Limited, calculated by adding the equity share capital and other equity.

3) Non-Controlling Interests: This represents the portion of equity in a subsidiary company that is not attributable to the parent company (Tata Motors Limited), usually held by minority shareholders.

Adding these subsections together will give us the total equity of Tata Motors Limited.

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NON CURRENT LIABILITIES

	Liabilities				
(1)	Non-current liabilities				
(a)	Financial liabilities:				
	(i)	Borrowings	26	97,759.17	93,112.77
	(ii)	Lease liabilities		5,962.44	5,412.06
	(iii)	Other financial liabilities	28	5,333.66	2,556.35
(b)	Provisions		31	12,955.89	13,606.76
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				131,104.82	128,556.41

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CURRENT LIABILITIES

Current liabilities are a company's short-term financial obligations that are expected to be settled within one year or the operating cycle, whichever is longer. These liabilities include accounts payable, short-term loans, accrued expenses, and other debts or obligations that must be paid off in the near future. Current liabilities are crucial for assessing a company's liquidity and short-term financial health, as they indicate the immediate financial demands on the company and its ability to meet these obligations with its current assets.

				131,104.82	128,556.41
(2)	Current liabilities				
(a)	Financial liabilities:				
	(i)	Borrowings	27	41,917.87	42,791.74
	(ii)	Lease liabilities		809.55	814.00
	(iii)	Trade payables	30		
		(a) Total outstanding dues of micro and small enterprises		183.92	186.21
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	(iv)	Acceptances		9,779.95	7,860.31
	(v)	Other financial liabilities	29	14,420.24	13,725.64
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(d)	Liabilities directly associated with Assets held-for-sale			3.12	-
(e)	Other current liabilities		33	11,761.54	10,443.18

Borrowings: Short-term loans or debt that need to be repaid within the year.

Lease liabilities: Short-term obligations under lease agreements due within the year.

Trade payables: Amounts owed to suppliers for goods or services received.

Micro and small enterprises: Payables to small-scale suppliers.

Other than micro and small enterprises: Payables to larger suppliers.

Acceptances: Short-term obligations accepted by the company, usually in the form of bills of exchange.

Other financial liabilities: Various other short-term financial obligations not classified elsewhere, such as interest payable or short-term payables.

Provisions: Funds set aside for specific short-term liabilities or expenses, like warranties or employee benefits.

Current tax liabilities (net): Taxes that are due to be paid within the current year.
Other current liabilities: Short-term obligations not included in the above categories, such as deferred revenue or accrued expenses

Total Liability = Shareholders' Funds + Non-Current Liabilities + Current Liabilities

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